

**Audited Financial Statements
and Supplementary Information**



June 30, 2024 and 2023

Quigley & Miron

SOMOS Mayfair
Audited Financial Statements and Supplementary Information
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June 30, 2024 and 2023

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Independent Auditor's Report

Board of Directors
SOMOS Mayfair
San Jose, California

Report on the Financial Statements

Opinion

We have audited the accompanying financial statements of SOMOS Mayfair (SOMOS), a nonprofit organization, which comprise the statements of financial position as of June 30, 2024 and 2023, and the related statements of activities, functional expenses, and cash flows for the years then ended, and the related notes to the financial statements.

In our opinion, the financial statements referred to above present fairly, in all material respects, the financial position of SOMOS as of June 30, 2024 and 2023, and the changes in its net assets and its cash flows for the years then ended in accordance with accounting principles generally accepted in the United States of America.

Basis for Opinion

We conducted our audit in accordance with auditing standards generally accepted in the United States of America (GAAS) and the standards applicable to financial audits contained in *Government Auditing Standards*, issued by the Comptroller General of the United States (GAGAS). Our responsibilities under those standards are further described in the *Auditor's Responsibilities for the Audit of the Financial Statements* section of our report. We are required to be independent of SOMOS and to meet our other ethical responsibilities, in accordance with the relevant ethical requirements relating to our audit. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinion.

Responsibilities of Management for the Financial Statements

Management is responsible for the preparation and fair presentation of the financial statements in accordance with accounting principles generally accepted in the United States of America, and for the design, implementation, and maintenance of internal control relevant to the preparation and fair presentation of financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, management is required to evaluate whether there are conditions or events, considered in the aggregate, that raise substantial doubt about SOMOS's ability to continue as a going concern for one year after the date that the financial statements are issued.

Auditor's Responsibilities for the Audit of the Financial Statements

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance but is not absolute assurance and therefore is not a guarantee that an audit conducted in accordance with GAAS and GAGAS will always detect a material misstatement when it exists. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control. Misstatements are considered material if there is a substantial likelihood that, individually or in the aggregate, they would influence the judgment made by a reasonable user based on the financial statements.

In performing an audit in accordance with GAAS and GAGAS, we:

- Exercise professional judgment and maintain professional skepticism throughout the audit.
- Identify and assess the risks of material misstatement of the financial statements, whether due to fraud or error, and design and perform audit procedures responsive to those risks. Such procedures include examining, on a test basis, evidence regarding the amounts and disclosures in the financial statements.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of SOMOS's internal control. Accordingly, no such opinion is expressed.
- Evaluate the appropriateness of accounting policies used and the reasonableness of significant accounting estimates made by management, as well as evaluate the overall presentation of the financial statements.
- Conclude whether, in our judgment, there are conditions or events, considered in the aggregate, that raise substantial doubt about SOMOS's ability to continue as a going concern for a reasonable period of time.

We are required to communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit, significant audit findings, and certain internal control-related matters that we identified during the audit.

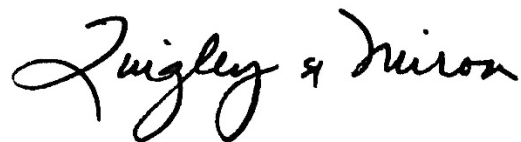
Other Matters

Required Supplementary Information

Our audit was conducted for the purpose of forming an opinion on the financial statements as a whole. The accompanying schedule of expenditures of federal awards is presented for purposes of additional analysis as required by the Title 2 U.S. Code of Federal Regulations (CFR) Part 200, *Uniform Administrative Requirements, Cost Principles, and Audit Requirements for Federal Awards* (Uniform Guidance), and is not a required part of the financial statements. Such information is the responsibility of management and was derived from and relates directly to the underlying accounting and other records used to prepare the financial statements. The information has been subjected to the auditing procedures applied in the audit of the financial statements and certain additional procedures, including comparing and reconciling such information directly to the underlying accounting and other records used to prepare the financial statements or to the financial statements themselves, and other additional procedures in accordance with auditing standards generally accepted in the United States of America. In our opinion, the schedule of expenditures of federal awards is fairly stated, in all material respects, in relation to the financial statements as a whole.

Other Reporting Required by GAGAS

In accordance with GAGAS, we have also issued report dated February 24, 2025, on our consideration of SOMOS's internal control over financial reporting, and our tests of its compliance with certain provisions of laws, regulations, contracts and grant agreements, and other matters. The purpose of that report is to describe the scope of our testing of internal control over financial reporting and compliance and the results of that testing and not to provide an opinion on the internal control over financial reporting or on compliance. That report is an integral part of an audit performed in accordance with GAGAS in considering SOMOS's internal control over financial reporting and compliance.



SOMOS Mayfair
Statement of Financial Position
June 30, 2024

	Without Donor Restrictions	With Donor Restrictions	Total
Assets			
Cash and cash equivalents	\$ 407,622	\$ 1,481,327	\$ 1,888,949
Grants and contributions receivable—Note 3	-	186,000	186,000
Government grants receivable	965,989	-	965,989
Prepaid expenses	54,187	-	54,187
Deposits	7,587	-	7,587
Property and equipment, net—Note 4	205,446	-	205,446
Finance lease asset, net—Note 5	45,011	-	45,011
Operating lease right-of-use asset—Note 5	129,109	-	129,109
Total Assets	\$ 1,814,951	\$ 1,667,327	\$ 3,482,278
Liabilities and Net Assets			
Liabilities			
Accounts payable and accrued liabilities	165,815	-	165,815
Accrued vacation	96,413	-	96,413
Deferred revenue	2,500	-	2,500
Finance lease liability—Note 5	46,824	-	46,824
Operating lease liability—Note 5	133,724	-	133,724
Total Liabilities	445,276	-	445,276
Net Assets			
Without donor restrictions			
Undesignated	988,794	-	988,794
Board-designated reserve—Note 7	380,881	-	380,881
Total Net Assets Without Donor Restrictions	1,369,675	-	1,369,675
With donor restrictions—Note 8			
Specified purpose	-	1,481,327	1,481,327
Time restrictions	-	186,000	186,000
Total Net Assets With Donor Restrictions	-	1,667,327	1,667,327
Total Net Assets	1,369,675	1,667,327	3,037,002
Total Liabilities and Net Assets	\$ 1,814,951	\$ 1,667,327	\$ 3,482,278

See notes to financial statements.

SOMOS Mayfair
Statement of Financial Position
June 30, 2023

	Without Donor Restrictions	With Donor Restrictions	Total
Assets			
Cash and cash equivalents	\$ 573,825	\$ 1,472,217	\$ 2,046,042
Grants and contributions receivable—Note 3	-	500,000	500,000
Government grants receivable	668,512	-	668,512
Prepaid expenses	45,003	-	45,003
Deposits	7,587	-	7,587
Property and equipment, net—Note 4	228,248	-	228,248
Finance lease asset, net—Note 5	59,732	-	59,732
Operating lease right-of-use asset—Note 5	230,929	-	230,929
Total Assets	\$ 1,813,836	\$ 1,972,217	\$ 3,786,053
Liabilities and Net Assets			
Liabilities			
Accounts payable and accrued liabilities	343,031	-	343,031
Accrued vacation	97,112	-	97,112
Finance lease liability—Note 5	60,835	-	60,835
Operating lease liability—Note 5	235,487	-	235,487
Total Liabilities	736,465	-	736,465
Net Assets			
Without donor restrictions			
Undesignated	597,694	-	597,694
Board-designated reserve—Note 7	479,677	-	479,677
Total Net Assets Without Donor Restrictions	1,077,371	-	1,077,371
With donor restrictions—Note 8			
Specified purpose	-	1,472,217	1,472,217
Time restrictions	-	500,000	500,000
Total Net Assets Without Donor Restrictions	-	1,972,217	1,972,217
Total Net Assets	1,077,371	1,972,217	3,049,588
Total Liabilities and Net Assets	\$ 1,813,836	\$ 1,972,217	\$ 3,786,053

See notes to financial statements.

SOMOS Mayfair
Statement of Activities
Year Ended June 30, 2024

	Without Donor Restrictions	With Donor Restrictions	Total
Operating Activities			
Support and Revenue			
Government grants	\$ 2,221,595	\$ -	\$ 2,221,595
Foundation grants	827,554	1,631,605	2,459,159
Corporate grants	105,424	186,000	291,424
In-kind contributions—Note 9	139,895	-	139,895
Individual contributions	333,149	242,750	575,899
Special events			
Gross revenue	188,752	-	188,752
Less cost of direct benefits to donors	(66,896)	-	(66,896)
Special Events, Net	121,856	-	121,856
Program service income	31,213	-	31,213
Interest and dividend income	48,685	-	48,685
Miscellaneous income	66,011	-	66,011
Total Support and Revenue	3,895,382	2,060,355	5,955,737
Net assets released from restrictions	2,365,245	(2,365,245)	-
Total Support, Revenue, and Releases from Restrictions	6,260,627	(304,890)	5,955,737
Expenses			
Program services	4,733,043	-	4,733,043
Supporting services			
Management and general	882,799	-	882,799
Fund development	352,481	-	352,481
Total Expenses	5,968,323	-	5,968,323
Change in Net Assets From Operations	292,304	(304,890)	(12,586)
Change in Net Assets	292,304	(304,890)	(12,586)
Net Assets at Beginning of Year	1,077,371	1,972,217	3,049,588
Net Assets End of Year	\$ 1,369,675	\$ 1,667,327	\$ 3,037,002

See notes to financial statements.

SOMOS Mayfair
Statement of Activities
Year Ended June 30, 2023

	Without Donor Restrictions	With Donor Restrictions	Total
Operating Activities			
Support and Revenue			
Government grants	\$ 2,478,049	\$ -	\$ 2,478,049
Foundation grants	427,642	1,482,100	1,909,742
Corporate grants	800	-	800
In-kind contributions—Note 9	417,922	-	417,922
Individual contributions	40,594	27,000	67,594
Special events			
Gross revenue	208,177	-	208,177
Less cost of direct benefits to donors	(109,225)	-	(109,225)
Special Events, Net	98,952	-	98,952
Program service income	16,640	-	16,640
Interest and dividend income	16,059	-	16,059
Miscellaneous income	51,492	-	51,492
Total Support and Revenue	3,548,150	1,509,100	5,057,250
Net assets released from restrictions	2,890,392	(2,890,392)	-
Total Support, Revenue, and Releases from Restrictions	6,438,542	(1,381,292)	5,057,250
Expenses			
Program services	6,348,623		6,348,623
Supporting services			
Management and general	790,596		790,596
Fund development	538,551		538,551
Total Expenses	7,677,770		7,677,770
Change in Net Assets From Operations	(1,239,228)	(1,381,292)	(2,620,520)
Change in Net Assets	(1,239,228)	(1,381,292)	(2,620,520)
Net Assets at Beginning of Year, as Previously Reported	2,316,810	3,353,509	5,670,319
Cumulative effect of adoption of ASU 2016-02, Leases (Topic 842)	(211)	-	(211)
Net Assets at Beginning of Year, as Restated	2,316,599	3,353,509	5,670,108
Net Assets End of Year	\$ 1,077,371	\$ 1,972,217	\$ 3,049,588

See notes to financial statements.

SOMOS Mayfair
Statement of Functional Expenses
Year Ended June 30, 2024

	Program Services							Supporting Services			
	Leadership Development	Community Power	Early School Success	Economic Opportunity	In-Our Hands	Si Se Puede Collective	Total Program Services	Management and General	Fund Development	Special Events	Total
Salaries and wages	\$ 260,938	\$ 338,396	\$ 869,845	\$ 97,973	\$ 374,089	\$ 408,321	\$ 2,349,562	\$ 384,382	\$ 187,162	\$ -	\$ 2,921,106
Employee benefits	48,492	42,278	131,893	4,605	32,913	54,734	314,915	54,834	20,893	-	390,642
Payroll taxes	20,032	26,224	66,769	7,624	28,748	31,509	180,906	31,947	14,226	-	227,079
Total Personnel	329,462	406,898	1,068,507	110,202	435,750	494,564	2,845,383	471,163	222,281	-	3,538,827
Subcontract fees	-	-	-	-	-	991,526	991,526	-	-	-	991,526
Contract services	67,088	49,213	3,375	84,108	17,228	17,253	238,265	64,658	90,483	-	393,406
Facilities expense	21,584	30,443	59,480	10,112	45,465	42,337	209,421	87,942	9,019	-	306,382
Professional fees and services	2,148	3,043	5,191	1,074	4,117	102,530	118,103	155,458	-	-	273,561
Supplies	10,422	59,870	55,834	3,595	19,247	6,616	155,584	21,635	4,077	-	181,296
Office expenses	4,206	7,919	14,532	1,650	12,400	21,896	62,603	33,338	11,381	-	107,322
Depreciation and amortization	4,431	8,835	17,368	2,001	14,500	5,929	53,064	11,377	2,601	-	67,043
Cost of direct benefits to donors	-	-	-	-	-	-	-	-	-	66,896	66,896
Miscellaneous expenses	-	-	50	-	9,792	439	10,281	14,305	7,395	-	31,981
Travel and meals	-	5,195	4,421	513	9,716	-	19,845	2,951	2,544	-	25,340
Professional development	-	250	1,052	-	1,301	997	3,600	18,224	1,750	-	23,574
Insurance	1,622	3,228	6,322	726	5,321	2,149	19,368	1,748	950	-	22,066
Stipends	-	-	6,000	-	-	-	6,000	-	-	-	6,000
Total Non-Personnel	111,501	167,996	173,625	103,779	139,087	1,191,672	1,887,660	411,636	130,200	66,896	2,496,393
Total Expenses by Function	440,963	574,894	1,242,132	213,981	574,837	1,686,236	4,733,043	882,799	352,481	66,896	6,035,220
Less expenses included with revenues on the statement of activities											
Cost of direct benefits to donors	-	-	-	-	-	-	-	-	-	(66,896)	(66,896)
Total Expenses	\$ 440,963	\$ 574,894	\$ 1,242,132	\$ 213,981	\$ 574,837	\$ 1,686,236	\$ 4,733,043	\$ 882,799	\$ 352,481	\$ -	\$ 5,968,324

See notes to financial statements.

SOMOS Mayfair
Statement of Functional Expenses
Year Ended June 30, 2023

	Program Services							Supporting Services			
	Leadership Development	Community Power	Early School Success	Economic Opportunity	In-Our Hands	Si Se Puede Collective	Total Program Services	Management and General	Fund Development	Special Events	Total
Salaries and wages	\$ 354,426	\$ 444,962	\$ 1,109,450	\$ 14,820	\$ 225,251	\$ 457,588	\$ 2,606,497	\$ 378,823	\$ 339,340	\$ -	\$ 3,324,660
Employee benefits	55,633	61,768	139,306	751	15,362	52,349	325,169	96,447	37,860	-	459,476
Payroll taxes	27,248	34,167	85,040	1,100	17,006	34,852	199,413	29,073	25,779	-	254,265
Total Personnel	437,307	540,897	1,333,796	16,671	257,619	544,789	3,131,079	504,343	402,979	-	4,038,401
Subcontract fees	-	-	-	-	-	1,357,053	1,357,053	-	-	-	1,357,053
Contract services	84,850	41,878	7,578	69,512	170,797	485,032	859,647	26,627	22,754	-	909,028
Facilities expense	25,714	24,626	61,041	1,588	79,416	25,296	217,681	64,609	32,254	-	314,544
Professional fees and services	2,148	2,327	10,870	179	15,376	27,580	58,480	107,094	15,214	-	180,788
Supplies	53,807	48,313	179,100	4,799	154,689	14,968	455,676	27,682	22,412	-	505,770
Office expenses	4,815	7,782	15,387	176	41,762	19,551	89,473	26,362	23,026	-	138,861
Depreciation and amortization	5,677	6,674	25,511	85	3,834	6,352	48,133	8,189	4,741	-	61,063
Cost of direct benefits to donors	-	-	-	-	-	-	-	-	-	109,225	109,225
Miscellaneous expenses	-	-	-	4,618	52,633	30,041	87,292	6,356	9,423	-	103,071
Travel and meals	20	1,126	2,098	-	6,944	-	10,188	1,094	3,026	-	14,308
Professional development	690	2,903	5,599	-	3,810	-	13,002	16,812	1,051	-	30,865
Insurance	2,047	2,413	9,269	31	1,374	2,239	17,373	1,428	1,671	-	20,472
Stipends	546	-	3,000	-	-	-	3,546	-	-	-	3,546
Total Non-Personnel	180,314	138,042	319,453	80,988	530,635	1,968,112	3,217,544	286,253	135,572	109,225	3,748,594
Total Expenses by Function	617,621	678,939	1,653,249	97,659	788,254	2,512,901	6,348,623	790,596	538,551	109,225	7,786,995
Less expenses included with revenues on the statement of activities											
Cost of direct benefits to donors	-	-	-	-	-	-	-	-	-	(109,225)	(109,225)
Total Expenses	\$ 617,621	\$ 678,939	\$ 1,653,249	\$ 97,659	\$ 788,254	\$ 2,512,901	\$ 6,348,623	\$ 790,596	\$ 538,551	\$ -	\$ 7,677,770

See notes to financial statements.

SOMOS Mayfair
Statements of Cash Flows
Years Ended June 30, 2024 and 2023

	<u>2024</u>	<u>2023</u>
Cash Flows from Operating Activities		
Change in net assets	\$ (12,586)	\$ (2,620,520)
Adjustments to reconcile change in net assets to net cash used in operating activities:		
Depreciation and amortization	67,043	61,063
Non cash lease expense	116,541	(290,872)
Loss on disposal of property and equipment	-	1,616
Changes in operating assets and liabilities:		
Grants and contributions receivable	314,000	1,291,545
Government grants receivable	(297,477)	(119,927)
Prepaid expenses	(9,184)	54,468
Accounts payable and accrued liabilities	(177,216)	110,460
Accrued vacation	(699)	18,263
Deferred revenue	2,500	(23,000)
Finance lease liability	(14,011)	60,835
Operating lease liability	(101,763)	235,487
Net Cash Used in Operating Activities	(112,852)	(1,220,582)
Cash Flows from Investing Activities		
Purchases of property and equipment	(44,241)	(166,680)
Net Cash Used in Investing Activities	(44,241)	(166,680)
Net Decrease in Cash and Cash Equivalents	(157,093)	(1,387,262)
Cash and Cash Equivalents at the Beginning of Year	2,046,042	3,433,304
Cash and Cash Equivalents at the End of Year	\$ 1,888,949	\$ 2,046,042
Supplementary Disclosures		
Income taxes paid	\$ -	\$ -
Interest paid	\$ -	\$ -

See notes to financial statements.

SOMOS Mayfair
Notes to Financial Statements
June 30, 2024 and 2023

Note 1—Organization and Summary of Significant Accounting Policies

Organization—SOMOS Mayfair (SOMOS) is a California nonprofit public benefit corporation that was incorporated in 1997 to improve the human and physical conditions in the Mayfair area of east San Jose, California. The mission is to support children, organize families, and connect neighbors to uplift the dreams, power, and leadership of the community, and address systemic inequities. SOMOS is led by Board members, staff, and volunteers who are representative of the community it currently serves and who can develop a vision for the future.

Program Services—Fiscal year 2024 was a year of profound growth and deepened impact at SOMOS. Our programs evolved to meet the needs of our community, reflecting our ongoing commitment to leadership development, economic opportunity, and community power. Each initiative this year was driven by the belief that when people come together, they can create lasting change for themselves and their entire communities.

In Learning and Leadership Development, our Universidad de Popular (UPM) continued to thrive, welcoming 246 participants into a transformative space of learning and growth. These community members didn't just attend workshops—they engaged in a learning journey that explored power mapping, facilitation, campaign strategy, labor justice, and community governance. The curriculum we developed was intentionally designed to equip leaders as well as staff with the skills to advocate for themselves and their communities, fostering a sense of empowerment that rippled outwards.

This year also marked an important expansion of our Restorative Justice work. We held an orientation to welcome the first community member into our Restorative Committee, a group dedicated to fostering collective wellbeing. Together, we developed shared communication tools and conflict resolution strategies, ensuring that our organization not only focused on outward advocacy but also on building a healthy, resilient internal culture. These restorative practices now form the foundation of how we work and interact, not only within SOMOS but across our wider network.

Our mental health services took a leap forward through a new partnership with Gardner Health Services. By integrating mental health support into our leadership development programs, we offered a more holistic approach, ensuring that those stepping into leadership have the emotional and psychological tools to sustain their growth. One of the most exciting developments was the launch of our promotora training initiative. Through this program, we identified and mentored 8 new community leaders, integrating them into our Fuertes Promotor Network. These promotores serve as connectors—helping others in the community access resources, develop leadership skills, and even explore starting businesses. The seeds planted this year will continue to grow, creating more leaders rooted in and serving their own communities.

Our peer mentorship network flourished, with mentors supporting community members in setting and achieving leadership goals. Through coaching and individualized strategies, we've seen increased collaboration and engagement across SOMOS teams. A highlight of the year was our annual post-survey and focus group, which revealed that our peer mentorship efforts have made a significant impact, with leaders reporting strengthened connections and support from their peers.

In the realm of Community Power, FY24 was an especially catalytic year for Vecinos Activos. After six years of tireless advocacy, the team successfully passed the Tenant Preference Policy for the City of San Jose. This victory represents the power of sustained community engagement, with Vecinos leaders at the forefront, ensuring that their voices shaped housing policies that prioritize those who have long been marginalized in East San José.

SOMOS Mayfair
Notes to Financial Statements—Continued

Note 1—Organization and Summary of Significant Accounting Policies—Continued

Our Jóvenes Activos youth leaders also stepped into their own power this year. For the first time, they hosted the Our Stories behind the Art summer series, a space where over 50 youth came together to learn about advocacy, animation, and the power of storytelling. The series included field trips to City Hall and the Cartoon Art Museum, giving youth a firsthand experience of civic engagement. They also shared their art and stories at the Gracias a la Vida Fundraiser, where their voices were amplified and celebrated as keynote speakers. These young leaders not only learned about their community but contributed to shaping its future.

This year, we strengthened our partnership with ARUSD, collaborating with Lucha and San Antonio Elementary Schools to host EMPUJE meetings directly on-site. These meetings empowered parents to advocate for important causes within their school communities. One of the most significant achievements was the successful passage of Resolution 69-23/24, which celebrates Pride Month and affirms the district's commitment to protecting and supporting LGBTQ+ students. Additionally, through the collective efforts of parents and staff, we made strides in passing the Children and Youth Master Plan for the City of San Jose, ensuring that young people's needs remain a priority in our city's future planning.

On a broader scale, we continued to lead economic justice efforts. As co-conveners of the South Bay/Peninsula High Road Roundtable (HRR), we brought together more than 400 cross-sector stakeholders to build pathways to quality jobs. This work is more than economic opportunity—it's about creating a future where workers, particularly those excluded by status or circumstance, can build wealth for their families and communities. We're especially proud of our leadership in the working group focused on worker-owned cooperatives. Together with partners, we developed a proposal to create two local Coop Hubs, which will support the growth and sustainability of co-ops, helping transform the landscape of economic opportunity in our region.

Economic Justice was at the heart of much of our work this year. Our newly launched Economic Justice Advocacy Committee, composed of excluded workers, led a participatory research process to develop our collective Economic Justice Vision. Through their landscape analysis, the Committee identified their first area of advocacy, setting the stage for future policy wins that will benefit the most marginalized workers in our community.

Our Sí Se Puede Collective (SSPC) also made great strides. In FY24, we focused on four joint initiatives, the most significant being the Jobs to Grow program. Through this initiative, we trained 124 residents in childcare and food preparation, equipping them with the skills to either start their own businesses or join a cooperative model. We are particularly excited to expand this work, as we help cohorts of new entrepreneurs develop their business models and navigate the cooperative ecosystem.

In collaboration with Destination Home, we continued to support 150 families through the Silicon Valley Guaranteed Income Program, providing them with \$1,000 per month. This additional income has been life-changing for many, and the extended partnership allows us to study the long-term impacts of guaranteed income on family wellbeing.

The SSPC also secured a \$1 million investment to explore the development of Community Development Corporations (CDCs) in Mayfair and surrounding areas. This investment will help us lay the groundwork for community-owned housing and economic development, advancing our goal of building generational wealth in our neighborhood.

SOMOS Mayfair
Notes to Financial Statements—Continued

Note 1—Organization and Summary of Significant Accounting Policies—Continued

Finally, our Family Resource Center (FRC) team had another impactful year, beginning with the successful implementation of Bridge to Kinder in partnership with ARUSD. This program was offered at both Linda Vista and San Antonio Elementary Schools, with 65 students enrolled at each site. To further support the healthy development of these young learners, we completed 46 Ages and Stages Questionnaires, allowing us to better track and respond to each child's growth needs.

This year also saw the exciting launch of Los Compadres, a program dedicated to engaging fathers in the community. We are proud to currently have 7 active leaders, with programming designed to address important topics such as domestic violence, child abuse prevention, raising LGBTQ+ children, and mental health. In partnership with the Palo Alto Junior Museum, our Painter FRC site began offering quarterly programming that introduces children and their families to different animals and learning opportunities. Additionally, we launched Saturday programming at both of our FRC sites, focusing on key areas such as medical enrollment, art and wellness, and health and nutrition.

Overall, through these and other initiatives, our FRCs have served more than 1,224 participants this year. Our ParentChild+ program has been a cornerstone of these services, delivering over 8,000 home visits to families. The program currently has 30 caregivers, and 33 children enrolled, with 15 children and their caregivers graduating last September. We have also created new opportunities for caregivers through the Be Strong Families Parent Café Series, which brought together 15 parents to share their stories and build a sense of community. This series was integrated with our monthly ParentChild+ Connections meetings, further connecting participants to the larger network of support within the FRC.

Our developmental support for children has also been robust, as we administered 167 Ages and Stages Questionnaires (ASQ-3 and ASQ-SE) throughout the year. These assessments were conducted at the beginning, middle, and end of the program to track developmental progress and set personalized goals for each child. As a result, we were able to make over 10 referrals for children to receive specialized services where needed, ensuring they get the support necessary for healthy development.

As we reflect on this past year, we are proud of the milestones we've achieved and energized by the progress still to come. From leadership development and economic justice to community power and resource access, SOMOS Mayfair continues to be a catalyst for change in East San José, ensuring that every voice is heard, and every person has the opportunity to thrive.

Financial Statement Presentation—The financial statements are prepared using the accrual basis of accounting in accordance with generally accepted accounting principals in the United States of America. SOMOS's net assets are classified based on the existence or absence of donor-imposed restrictions.

As such, the net assets of SOMOS and changes therein are presented and reported as follows:

Net assets without donor restrictions—Net assets that are not subject to donor-imposed stipulations and that may be expended for any purpose in performing the primary objectives of SOMOS. These net assets may be used at the discretion of SOMOS's management and the board of directors.

Net assets with donor restrictions—Net assets subject to stipulations imposed by donors and grantors. Some donor restrictions are temporary in nature; such restrictions that may or will be met either by actions of SOMOS and/or the passage of time. Other donor restrictions are perpetual in nature, whereby the donor has stipulated that the funds be maintained in perpetuity. Generally, the donors of such assets permit SOMOS to use all or part of the income earned on related investments for general or specific purposes.

SOMOS Mayfair
Notes to Financial Statements—Continued

Note 1—Organization and Summary of Significant Accounting Policies—Continued

Donor-restricted contributions are reported as increases in net assets with donor restrictions, depending on the nature of the restriction. When a time restriction expires or a purpose restriction is satisfied, net assets with donor restrictions are reclassified to net assets without donor restrictions and are reported in the statement of activities as net assets released from restrictions.

Measure of Operations—The statement of activities reports all changes in net assets, including changes in net assets from operating and nonoperating activities. Operating activities consist of SOMOS's leadership activities, early education initiatives, and other areas assisting to the community. Nonoperating activities are limited to resources that generate return from investments and other activities considered to be of a more unusual or nonrecurring nature. SOMOS did not engage in any reportable nonoperating activities during the years ended June 30, 2024 and 2023.

Income Taxes—SOMOS is a nonprofit organization exempt from income taxes under Section 501(c)(3) of the Internal Revenue Code (Code), and from California state income taxes under Section 23701(d) of the California Revenue Taxation Code. Accordingly, no provision for income taxes is included in the financial statements. In addition, SOMOS has been determined by the Internal Revenue Service not to be a private foundation within the meaning of Section 509(a) of the Code. Accounting standards require an organization to evaluate its tax positions and provide for a liability for any positions that would not be considered 'more likely than not' to be upheld under a tax authority examination.

Management has evaluated its tax positions and has concluded that a provision for a tax liability is not necessary at June 30, 2024 and 2023. Generally, SOMOS' information returns remain open for examination for a period of three (federal) or four (state of California) years from the date of filing. SOMOS had no open federal or state examinations during the years ended June 30, 2021 or 2020.

Cash and Cash Equivalents—Cash is defined as cash in demand deposit accounts as well as cash on hand. Cash equivalents represent money market funds which are invested in high credit quality financial institutions.

Contributions Receivable—Receivables are recorded at fair market value at the date of the financial statement. SOMOS considers contributions receivable to be fully collectible; accordingly, no allowance for credit losses is required.

Grants Receivable—Grants receivable are recorded at fair market value at the date of the financial statement and consist of balances from individuals, local foundations and corporations.

Recently Adopted Accounting Principle—In June 2016, the Financial Accounting Standards Board (FASB) issued Accounting Standards (ASU) No. 2016-13, *Financial Instruments—Credit Losses (Topic 326)*, which requires organizations to measure all expected credit losses for financial instruments held at the reporting date based on historical experience, current conditions, and reasonable supportable forecasts. This standard replaces the incurred loss methodology with an expected loss methodology that is referred to as the current expected credit loss (CECL) methodology. The new guidance affects organizations that hold financial assets and net investments in leases that are not accounted for at fair value with changes in fair value reported in net income, including loans, debt securities, trade receivables, net investments in leases, off-balance-sheet credit exposures, reinsurance receivables, and any other financial assets not excluded from the scope that have the contractual right to receive cash. The Organization adopted ASU No. 2016-13 on a retrospective basis for the year ended June 30, 2024 with no resulting impact on the financial statement presentation.

SOMOS Mayfair
Notes to Financial Statements—Continued

Note 1—Organization and Summary of Significant Accounting Policies—Continued

Property and Equipment—Property and equipment are recorded at cost or estimated fair value for donated items. The cost of repairs and maintenance which do not improve or extend the lives of the respective assets are expensed currently. Depreciation is computed using the straight-line method over the estimated useful lives of the related assets (3-10 years for equipment). Depreciation is allocated to the activity benefitting from the use of the property or equipment. Amounts over \$1,500 are capitalized when such amounts are determined to benefit future periods.

Accrued Vacation—Accrued vacation represents vacation earned, but not taken, as of the end of the fiscal year. The accrued vacation balances as of June 30, 2024 and 2023 were \$96,413 and \$97,112, respectively.

Contributions—Contributions are recognized when the donor makes a promise to SOMOS that is, in substance, unconditional. SOMOS reports gifts of cash and other assets as restricted support if they are received with donor stipulations that limit the use of the donated assets. When a donor restriction expires, that is, when a stipulated time restriction ends or purpose restriction is accomplished, temporarily restricted net assets are reclassified to unrestricted net assets and reported in the statement of activities as net assets released from restrictions.

Concentration of Credit Risk—Financial instruments which potentially subject SOMOS to concentrations of credit risk consist of cash and cash equivalents, and receivables.

SOMOS places its cash and cash equivalents with high credit quality financial institutions where the funds are guaranteed by the Federal Deposit Insurance Corporation (FDIC) up to \$250,000 per institution. At times, such cash balances may exceed FDIC insurance limits during the normal course of business. While SOMOS is subject to credit risk to the extent any financial institution with which it conducts business is unable to fulfill contractual obligations on its behalf, SOMOS's management has assessed the credit risk associated with its cash deposits at June 30, 2024 and 2023 and believes it is not exposed to any significant credit risk with its cash and cash equivalents.

Grants receivable represent pledges from foundations, corporations and individuals. SOMOS considers all grants and contributions receivable to be fully collectible; accordingly, no allowance for doubtful accounts is considered necessary. Government grants receivable consists of amounts due from government agencies. SOMOS considers all government grants receivable to be fully collectible; accordingly, no allowance for doubtful accounts is considered necessary.

Contracts with Customers—Accounting standards require an organization to recognize revenue arising from contracts with customers at the time the customer obtains control of a contracted goods or service. Other major provisions include capitalization of certain contract costs, consideration of time value of money in the transaction price, and allowing estimates of variable consideration to be recognized before contingencies are resolved in certain circumstances. The guidance also requires enhanced disclosures regarding the nature, amount, timing, and uncertainty of revenue and cash flows arising from an entity's contracts with customers.

Revenue Recognition—SOMOS's revenue recognition policies are as follows:

Government grants—SOMOS receives government grants which are considered to be conditional grants until the services are performed. Once the corresponding service has been provided, the grant is recorded as an unconditional contribution in the statement of activities.

In-kind contributions—SOMOS records the value of donated materials and services at their fair value at the date of donation. In-kind services are recorded only if the services (a) create or enhance nonfinancial assets, or (b) require specialized skills that are provided by individuals possessing those skills, and would typically need to be purchased if not provided by donation.

SOMOS Mayfair
Notes to Financial Statements—Continued

Note 1—Organization and Summary of Significant Accounting Policies—Continued

Interest and dividend income—Interest and dividend income earned on investments is recognized when received and is reported as interest and dividends under revenue and support in the statement of activities.

Special event income—Special event income is recognized when such income is received.

Functional Allocation of Expenses—The costs of providing the various programs and activities have been summarized on a functional basis in the statement of activities. Accordingly, certain costs have been allocated among the programs and supporting services benefitted. Functional allocation expenses are allocated as follows:

<u>Expense</u>	<u>Method of Allocation</u>
Contract services	Time and effort
Depreciation and amortization	Full-time equivalents
Employee benefits	Full-time equivalents
Facilities expense	Full-time equivalents
In-kind contributions	Full-time equivalents
Insurance	Full-time equivalents
Miscellaneous expenses	Full-time equivalents
Office expenses	Full-time equivalents
Payroll taxes	Full-time equivalents
Professional development	Time and effort
Professional fees and services	Time and effort
Salaries and wages	Full-time equivalents
Stipends	Time and effort
Subcontract fees	Time and effort
Supplies	Time and effort
Travel and meals	Time and effort

Advertising—Advertising costs are expensed as incurred. There were no advertising expenses for the years ended June 30, 2024 and 2023.

Use of Estimates—The preparation of financial statements in conformity with accounting principles generally accepted in the United States of America requires management to make estimates and assumptions that affect the reported amounts of assets and liabilities and disclosure of contingent assets and liabilities at the date of the financial statements and the reported amounts of revenue and expenses during the reporting period. Actual results could differ from those estimates.

Reclassifications—Certain amounts in 2023 have been reclassified to conform with the 2024 financial statement presentation.

Note 2—Availability and Liquidity

SOMOS's goal is generally to maintain financial assets to meet 90 days of operating expenses. As part of SOMOS' liquidity plan, excess cash is invested in money market accounts. SOMOS has a \$500,000 line of credit available to meet cash flow needs. SOMOS also has a board-designated reserve with a balance of \$380,881 and \$479,677 at June 30, 2024 and 2023, respectively, which can be used to support operating needs if necessary.

SOMOS Mayfair
Notes to Financial Statements—Continued

Note 2—Availability and Liquidity—Continued

The following represents the availability and liquidity of SOMOS's financial assets at June 30, 2024 and 2023 to cover operating expenses for the next fiscal year:

	<u>2024</u>	<u>2023</u>
Cash and cash equivalents	\$ 1,888,949	\$ 2,046,042
Grants and contributions receivable	186,000	500,000
Government grants receivable	965,989	668,512
Total Financial Assets	3,040,938	3,214,554
Less amounts purpose-restricted or not available within one year:		
Cash and cash equivalents	(1,481,327)	(1,472,217)
Grants and contributions receivable	-	(450,000)
Board-designated reserve	(380,881)	(479,677)
Current Availability of Financial Assets	<u>\$ 1,178,730</u>	<u>\$ 812,660</u>

Note 3—Grants and Contributions Receivable

Net grants and contributions receivable at June 30, 2024 and 2023 are due from various foundations and amounted to \$186,000 and \$500,000, respectively. As of June 30, 2024 and 2023, SOMOS had no outstanding receivables due beyond one year, thus, no discount was necessary.

Note 4—Property and Equipment, Net

The cost of property and equipment and related accumulated depreciation and amortization at June 30, 2024 and 2023 is as follows:

	<u>2024</u>	<u>2023</u>
Furniture, fixtures, and equipment	\$ 521,519	\$ 477,278
Leasehold improvements	68,510	68,510
Property and Equipment	590,029	545,788
Less accumulated depreciation and amortization	(384,583)	(317,540)
Property and Equipment, Net	<u>\$ 205,446</u>	<u>\$ 228,248</u>

Depreciation and amortization expense for the years ended June 30, 2024 and 2023 was \$67,043 and \$61,061, respectively.

Note 5—Operating and Finance Lease Commitments

Since June 25, 2007, SOMOS has leased office, program, and storage space in the Annex building of La Trinidad United Methodist Church. These operating leases ended March 31, 2022, and were renewed through May 31, 2024.

SOMOS has a five-year operating lease agreement, through March 2027, with Quetzal Gardens, L.P. to lease office, program and storage space at 1695 Alum Rock Ave, Ste 10 in San Jose, California.

Additionally, SOMOS has finance leases for copiers under various five-year terms, with maturity dates ranging from September 30, 2025 through July 31, 2027.

SOMOS Mayfair
Notes to Financial Statements—Continued

Note 5—Operating and Finance Lease Commitments—Continued

SOMOS has an operating right-of-use asset totaling \$129,109 and an operating lease liability totaling \$133,724 for its operating leases. Future minimum annual rental commitments by year for these operating leases at June 30, 2024 are as follows:

<u>Year Ending June 30,</u>		
2025	\$	44,988
2026		46,572
2027		50,342
	Gross Rental Payment	141,902
Less effect of discounting		(8,178)
	Operating Lease Liability	\$ 133,724

SOMOS has a financing lease liability totaling \$46,824; future minimum annual rental commitments at June 30, 2024 are as follows:

<u>Year Ending June 30,</u>		
2025	\$	16,175
2026		15,211
2027		12,910
2028		2,528
	Financial Lease Liability	\$ 46,824

Finance and operating lease expenses during the year ended June 30, 2024 totaled \$126,619, and are included in facilities expense on the statement of functional expenses.

Note 6—Line of Credit

SOMOS has an unsecured, revolving line of credit with Fremont Bank, with a credit limit of \$500,000 through October 3, 2025 at a variable rate of prime plus 1.25%. There were no outstanding balances at June 30, 2024 and 2023.

Note 7—Net Assets Without Donor Restrictions

Net assets without donor restrictions for the years ended June 30, 2024 and 2023 are as follows:

	<u>2024</u>	<u>2023</u>
Undesignated	\$ 988,794	\$ 597,694
Board-designated operating reserve	380,881	479,677
Total Net Assets Without Donor Restrictions	\$ 1,369,675	\$ 1,077,371

The board-designated reserve is a voluntary, board-approved segregation of net assets without donor restrictions for specific purposes, projects or investments. The reserve at June 30, 2024 and 2023 consists of cash assets designated to protect SOMOS from devastating economic or other misfortune. The reserve totaled \$380,881 and \$479,677 at June 30, 2024 and 2023, respectively.

SOMOS Mayfair
Notes to Financial Statements—Continued

Note 8—Net Assets with Donor Restrictions

Net assets with donor restrictions for the years ended June 30, 2024 and 2023 are as follows:

	<u>2024</u>	<u>2023</u>
Subject to expenditure for specified purpose:		
Si Se Puede Collective	\$ 1,368,520	\$ 1,294,575
Community Power (organizing and youth)	89,599	51,909
In Our Hands	18,750	105,733
Early Learning	4,458	-
Infrastructure	-	20,000
Total Subject to Expenditure for Specified Purpose	1,481,327	1,472,217
Subject to time restrictions:		
General operations	186,000	50,000
Community Power (organizing and youth)	-	385,000
Early Learning	-	65,000
Total Subject to Time Restrictions	186,000	500,000
Total Net Assets with Donor Restrictions	\$ 1,667,327	\$ 1,972,217

Net assets released from donor restrictions for the years ended June 30, 2024 and 2023 are as follows:

	<u>2024</u>	<u>2023</u>
Satisfaction of purpose restrictions:		
Si Se Puede Collective	\$ 1,411,805	\$ -
Community organizing	458,715	11,629
Early Learning	165,542	-
In Our Hands	141,983	2,000,830
Economic opportunity	76,950	-
Infrastructure	50,250	-
Leadership development	10,000	151,421
Fund development	-	45,262
Total Satisfaction of Purpose Restrictions	2,315,245	2,209,142
Subject to time restrictions:		
General operations	50,000	681,250
Total Net Assets Released from Donor Restrictions	\$ 2,365,245	\$ 2,890,392

SOMOS Mayfair
Notes to Financial Statements—Continued

Note 9—In-Kind Contributions

In-kind contributions include contributions of in-kind use of facilities and supplies used in operations of programs and other activities. For the years ended June 30, 2024 and 2023, in-kind contributions are reported in the statement of activities under public support and revenue, and in the statement of functional expenses under the following expense captions:

	<u>2024</u>	<u>2023</u>
From school district partners:		
Facilities expense	\$ 116,495	\$ 101,248
Total From School District Partners	116,495	101,248
From others:		
Professional fees and services	17,900	26,800
Supplies	5,500	289,874
Total From Others	23,400	316,674
Totals	\$ 139,895	\$ 417,922

Use of facilities consist of classroom space used for alternative programs, which is valued at the estimated fair value of the space of \$4.19 per square feet amounting to \$116,495 and \$101,248 for the years ended June 30, 2024 and 2023, respectively. Supplies are valued at the estimated fair market value at the time of donation totaling \$5,500 and \$289,874 for the years ended June 30, 2024 and 2023, respectively. Professional fees are provided by individuals possessing specialized skill and valued average hourly rate of \$2,246 and \$41 per hour amounting to \$17,899 and \$26,800 for the years ended June 30, 2024 and 2023, respectively. The in-kind contributions were received without donor restrictions.

Note 10—Employee Benefit Plan

SOMOS has a 401(k) retirement plan for all employees who have reached the age of 21 years and have completed one year of service. SOMOS started to match employee contributions as of January 1, 2022. The total match contributions amount for the years ended June 30, 2024 and 2023 was \$24,389 and \$47,605, respectively.

Note 11—Contingencies

Grants and contracts awarded to SOMOS are subject to their funding agencies' criteria, contract terms, and regulations, under which expenditures may be charged and are subject to audit. Occasionally, such audits may determine that certain costs incurred in connection with the grants do not comply with the established criteria that govern them. In such cases, SOMOS could be held responsible for repayments to the funding agency for the costs or be subject to a reduction of future funding in the amount of the costs.

Management does not anticipate any material questioned costs for the contracts and grants administered during the period. SOMOS would be responsible for the absorption of any over-expenditure of its restricted grants which cannot be covered by additional grant funds or contributions from other sources.

SOMOS Mayfair
Notes to Financial Statements—Continued

Note 12—Subsequent Events

Management evaluated all activities of SOMOS through February 24, 2025, which is the date the financial statements were available to be issued, and concluded that no material subsequent events have occurred that would require adjustment to the financial statements or disclosure in the notes to the financial statements.

SOMOS Mayfair
Schedule of Expenditures of Federal Awards
Year Ended June 30, 2024

Federal Department/ Federal Program Title/ Pass-Through Agency	Federal Assistance Listing Number	Grantor's Number	Federal Grant Amount	Grant Period	Expend- itures	Sub- recipients
U.S Department of Housing and Urban Development						
<u>CDBG—Entitlement Grants Cluster</u>						
Community Development Block Grants/Entitlement Grants						
Passed through:						
City of San Jose	14.218	CDBG-23-005	\$ 150,000	07/01/23 - 06/30/24	\$ 149,725	\$ 70,400
Total CDBG—Entitlement Grants Cluster, Assistance Listing Nos. 14.218 and 14.225					149,725	70,400
Economic Development Initiative, Community Project						
Funding, And Miscellaneous Grants						
Direct Award	14.251	B-22-CP-CA-0150	500,000	02/01/24 - 08/31/30	332,434	
Total Assistance Listing No. 14.251					332,434	
Total U.S. Department of Housing and Urban Development					482,159	70,400
U.S Department of Treasury						
COVID-19—Coronavirus State and Local Fiscal Recovery Funds						
Passed through:						
City of San Jose	21.027	OC-002022-000	320,000	07/29/22-06/30/24	120,000	116,435
Valley Medical Center	21.027	CV-R23-34486395	137,400	04/27/23-02/29/24	75,937	
Valley Medical Center	21.027	CV-R23-34489272	150,000	04/27/23-02/29/24	108,596	18,000
Total Assistance Listing No. 21.027					304,533	134,435
Total U.S. Department of Treasury					304,533	134,435

SOMOS Mayfair
Schedule of Expenditures of Federal Awards—Continued
Year Ended June 30, 2024

Federal Department/ Federal Program Title/ Pass-Through Agency	Federal Assistance Listing Number	Grantor's Number	Federal Grant Amount	Grant Period	Expend- itures	Sub- recipients
U.S. Department of Health and Human Services						
Epidemiology and Laboratory Capacity for Infectious Diseases (ELC)						
Passed through:						
Santa Clara County, Public Health Department	93.323	4300021333	\$ 1,000,000	09/01/21-06/30/25	\$ 79,732	\$ 79,732
			Total Assistance Listing No. 93.323		79,732	79,732
Activities to Support State, Tribal, Local and Territorial (STLT)						
Health Department Response to Public Health or Healthcare Crises						
Passed through:						
Santa Clara County, Public Health Department	93.391	4300021333	700,000	09/01/21-06/30/25	81,205	81,205
			Total Assistance Listing No. 93.391		81,205	81,205
Centers for Disease Control and Prevention Collaboration with Academia to Strengthen Public Health						
Passed through:						
Santa Clara County, Public Health Department	93.967	4300021333	375,000	09/01/21-06/30/25	196,629	114,438
			Total Assistance Listing No. 93.967		196,629	114,438
			Total U.S. Department of Health and Human Services		357,566	275,375
			Total Federal Awards		\$ 1,144,258	\$ 480,210

See accompanying notes to schedule of expenditures of federal awards.

SOMOS Mayfair
Notes to Schedule of Expenditures of Federal Awards
Year Ended June 30, 2024

Note 1—Basis of Presentation

The accompanying schedule of expenditures of federal awards includes the federal grant activity of SOMOS Mayfair under programs of the federal government for the year ended June 30, 2024. The information in this schedule is presented in accordance with the audit requirements of Title 2 U.S. Code of Federal Regulations Part 200, *Uniform Administrative Requirements, Cost Principles, and Audit Requirements for Federal Awards* (Uniform Guidance). Because the schedule presents only a selected portion of the operations of SOMOS Mayfair, it is not intended to and does not present the financial position, changes in net assets, or cash flows of SOMOS Mayfair.

Note 2—Summary of Significant Accounting Policies

Expenditures reported on the schedule are reported on the accrual basis of accounting. Such expenditures are recognized following the cost principles contained in the Uniform Guidance, wherein certain types of expenditures are not allowable or are limited as to reimbursement. Any negative amounts shown on the schedule represent adjustments or credits made in the normal course of operations to amounts reported as expenditures in prior years. Pass-through entity identifying numbers are presented where available.

Note 3—Indirect Cost Rate

SOMOS Mayfair has elected not to use the 10% de minimis indirect cost rate allowed under the Uniform Guidance.

SOMOS Mayfair
Summary Schedule of Prior Audit Findings
Year Ended June 30, 2024

There were no prior year audit findings.

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Independent Auditor's Report on Internal Control Over Financial Reporting and on Compliance and Other Matters Based on an Audit of Financial Statements Performed in Accordance with *Government Auditing Standards*

Board of Directors
SOMOS Mayfair
San Jose, California

We have audited in accordance with auditing standards generally accepted in the United States of America and the standards applicable to financial audits contained in *Government Auditing Standards*, issued by the Comptroller General of the United States, the financial statements of SOMOS Mayfair (SOMOS), which comprise the statement of financial position as of June 30, 2024, and the related statements of activities, functional expenses, and cash flows for the year then ended, and the related notes to the financial statements and have issued our report thereon dated February 24, 2025.

Internal Control over Financial Reporting

In planning and performing our audit of the financial statements, we considered SOMOS's internal control over financial reporting to determine the audit procedures that are appropriate in the circumstances for the purpose of expressing our opinion on the financial statements, but not for the purpose of expressing an opinion on the effectiveness of SOMOS's internal control. Accordingly, we do not express an opinion on the effectiveness of SOMOS's internal control.

A *deficiency in internal control* exists when the design or operation of a control does not allow management or employees, in the normal course of performing their assigned functions, to prevent, or detect and correct misstatements on a timely basis. A *material weakness* is a deficiency, or combination of deficiencies, in internal control, such that there is a reasonable possibility that a material misstatement of the entity's financial statements will not be prevented, or detected and corrected on a timely basis. A *significant deficiency* is a deficiency, or a combination of deficiencies, in internal control that is less severe than a material weakness, yet important enough to merit attention by those charged with governance.

Our consideration of internal control was for the limited purpose described in the first paragraph of this section and was not designed to identify all deficiencies in internal control that might be material weaknesses or significant deficiencies. Given these limitations, during our audit, we did not identify any deficiencies in internal control that we consider to be material weaknesses. However, material weaknesses may exist that have not been identified.

Compliance and Other Matters

As part of obtaining reasonable assurance about whether SOMOS's financial statements are free of material misstatement, we performed tests of its compliance with certain provisions of laws, regulations, contracts, and grant agreements, noncompliance with which could have a direct and material effect on the determination of financial statement amounts. However, providing an opinion on compliance with those provisions was not an objective of our audit and, accordingly, we do not express such an opinion.

The results of our tests disclosed no instances of noncompliance or other matters that are required to be reported under *Government Auditing Standards*.

Purpose of This Report

The purpose of this report is solely to describe the scope of our testing of internal control and compliance, and the results of that testing, and not to provide an opinion on the effectiveness of SOMOS's internal control or on compliance. This report is an integral part of an audit performed in accordance with *Government Auditing Standards* in considering SOMOS's internal control and compliance. Accordingly, this report is not suitable for any other purpose.

A handwritten signature in black ink that reads "Zigley & Miron". The script is fluid and cursive, with the ampersand clearly visible between the two names.

Campbell, California
February 24, 2025

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Independent Auditor's Report on Compliance for Each Major Federal Program and Report on Internal Control over Compliance in Accordance with the Uniform Guidance

Board of Directors
SOMOS Mayfair
San Jose, California

Report on Compliance for Each Major Federal Program

Opinion on Each Major Federal Program

We have audited SOMOS Mayfair's (SOMOS) compliance with the types of compliance requirements identified as subject to audit in the *OMB Compliance Supplement* that could have a direct and material effect on each of SOMOS's major federal programs for the year ended June 30, 2024. SOMOS's major federal program is identified in the summary of auditor's results section of the accompanying schedule of findings and questioned costs.

In our opinion, SOMOS complied, in all material respects, with the types of compliance requirements referred to above that could have a direct and material effect on its major federal award programs for the year ended June 30, 2024.

Basis for Opinion on Each Major Federal Program

We conducted our audit of compliance in accordance with auditing standards generally accepted in the United States of America (GAAS); the standards applicable to financial audits contained in *Government Auditing Standards* issued by the Comptroller General of the United States (*Government Auditing Standards*); and the audit requirements of Title 2 U.S. Code of Federal Regulations Part 200, *Uniform Administrative Requirements, Cost Principles, and Audit Requirements for Federal Awards* (Uniform Guidance). Our responsibilities under those standards and the Uniform Guidance are further described in the Auditor's Responsibilities for the Audit of Compliance section of our report.

We are required to be independent of SOMOS and to meet our other ethical responsibilities, in accordance with relevant ethical requirements relating to our audit. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion on compliance for each major federal program. Our audit does not provide a legal determination of SOMOS's compliance with the compliance requirements referred to above.

Responsibilities of Management for Compliance

Management is responsible for compliance with the requirements referred to above and for the design, implementation, and maintenance of effective internal control over compliance with the requirements of laws, statutes, regulations, rules and provisions of contracts or grant agreements applicable to SOMOS's federal programs.

Auditor's Responsibilities for the Audit of Compliance

Our objectives are to obtain reasonable assurance about whether material noncompliance with the compliance requirements referred to above occurred, whether due to fraud or error, and express an opinion on SOMOS's compliance based on our audit. Reasonable assurance is a high level of assurance but is not absolute assurance and therefore is not a guarantee that an audit conducted in accordance with GAAS, *Government Auditing Standards*, and the Uniform Guidance will always detect material noncompliance when it exists. The risk of not detecting material noncompliance resulting from fraud is higher than for that resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control. Noncompliance with the compliance requirements referred to above is considered material, if there is a substantial likelihood that, individually or in the aggregate, it would influence the judgment made by a reasonable user of the report on compliance about SOMOS's compliance with the requirements of each major federal program as a whole.

In performing an audit in accordance with GAAS, *Government Auditing Standards*, and the Uniform Guidance, we:

- Exercise professional judgment and maintain professional skepticism throughout the audit.
- Identify and assess the risks of material noncompliance, whether due to fraud or error, and design and perform audit procedures responsive to those risks. Such procedures include examining, on a test basis, evidence regarding SOMOS's compliance with the compliance requirements referred to above and performing such other procedures as we considered necessary in the circumstances.
- Obtain an understanding of SOMOS's internal control over compliance relevant to the audit in order to design audit procedures that are appropriate in the circumstances and to test and report on internal control over compliance in accordance with the Uniform Guidance, but not for the purpose of expressing an opinion on the effectiveness of SOMOS's internal control over compliance. Accordingly, no such opinion is expressed.

We are required to communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and any significant deficiencies and material weaknesses in internal control over compliance that we identified during the audit.

Report on Internal Control over Compliance

A deficiency in internal control over compliance exists when the design or operation of a control over compliance does not allow management or employees, in the normal course of performing their assigned functions, to prevent, or detect and correct, noncompliance with a type of compliance requirement of a federal program on a timely basis. *A material weakness in internal control over compliance* is a deficiency, or combination of deficiencies, in internal control over compliance, such that there is a reasonable possibility that material noncompliance with a type of compliance requirement of a federal program will not be prevented, or detected and corrected, on a timely basis. *A significant deficiency in internal control over compliance* is a deficiency, or a combination of deficiencies, in internal control over compliance with a type of compliance requirement of a federal program that is less severe than a material weakness in internal control over compliance, yet important enough to merit attention by those charged with governance.

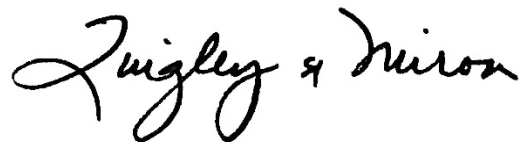
Our consideration of internal control over compliance was for the limited purpose described in the *Auditor's Responsibilities for the Audit of Compliance* section above and was not designed to identify all deficiencies in internal control over compliance that might be material weaknesses or significant deficiencies in internal control over compliance. Given these limitations, during our audit we did not identify any deficiencies in internal control over compliance that we consider to be material weaknesses, as defined above. However, material weaknesses or significant deficiencies in internal control over compliance may exist that were not identified.

Our audit was not designed for the purpose of expressing an opinion on the effectiveness of internal control over compliance. Accordingly, no such opinion is expressed.

Purpose of This Report

The purpose of this report on internal control over compliance is solely to describe the scope of our testing of internal control over compliance, and the result of that testing based on the requirements of the Uniform Guidance. Accordingly, this report is not suitable for any other purpose.

Campbell, California
February 24, 2025

A handwritten signature in black ink that reads "Zigley & Miron". The script is fluid and cursive, with the ampersand clearly visible between the two names.

SOMOS Mayfair
Schedule of Findings and Questioned Costs
Year Ended June 30, 2024

A. Summary of Audit Results

1. The auditor's report expresses an unmodified opinion on whether the financial statements of SOMOS Mayfair were prepared in accordance with accounting principles generally accepted in the United States of America.
2. No material weaknesses or significant deficiencies relating to internal control over financial reporting were identified during the audit.
3. No instances of noncompliance material to the financial statements of SOMOS Mayfair were disclosed during the audit.
4. No material weaknesses or significant deficiencies relating to internal control over major programs were identified during the audit of the major federal award programs.
5. The auditor's report on compliance for the major federal award programs of SOMOS Mayfair expresses an unmodified opinion.
6. There were no audit findings that required reporting in this schedule in accordance with Title 2 U.S. *Code of Federal Regulations* section 200.516(a).
7. The program tested as a major program was the U.S. Department of Housing and Urban Development, Economic Development Initiative, Community Project Funding, And Miscellaneous Grants, Assistance Listing No. 14.251.
8. The threshold for distinguishing Types A and B programs was \$750,000.
9. SOMOS Mayfair was determined to be a low-risk auditee.

B. Findings—Financial Statements Audit

None

C. Findings and Questioned Costs—Major Federal Award Program

None

**SOMOS Mayfair
Corrective Active Plan
June 30, 2024**

As there were no audit findings or questioned costs for the year ended June 30, 2024, a corrective action plan is not required.